

Contestant ID: _____

Time: _____

Rank: _____



COLLEGE ACCOUNTING

(105)

STATE 2023

CONCEPT KNOWLEDGE:

Matching (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (51 points)

Problem 1: Inventory Costing Methods _____ (45 points)

Problem 2: Journal Entries _____ (70 points)

Problem 3: Depreciation _____ (72 points)

TOTAL POINTS _____ **(268 points)**

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. Boston Corp. purchased inventory from Garcia Corp., FOB destination. Garcia paid the freight charges on this transaction. On December 31, the goods were on a United States Postal Service truck, with an estimated delivery date of January 3. When the goods are delivered, Boston will _____.
 - A. Reimburse Garcia for the freight charges
 - B. Make no journal entry for the freight charges
 - C. Decrease the inventory cost by the amount of the freight charges
 - D. Increase the inventory cost by the amount of the freight charges
2. When costs to purchase inventory are increasing, using LIFO lead to reporting _____ cost of goods sold and _____ net income than FIFO
 - A. Lower; lower
 - B. Higher; lower
 - C. Higher; higher
 - D. Lower; higher
3. Which of the following is not an element of the fraud triangle?
 - A. Opportunity
 - B. Control environment
 - C. Incentive
 - D. Rationalization
4. Which of the following does not affect Net Sales?
 - A. Sales Returns and Allowances
 - B. Sales Discounts
 - C. Cost of Goods Sold
 - D. Sales Revenue
5. This year Gibson Company had sales of \$750,000 and cost of goods sold of \$250,000. What is the gross profit percentage?
 - A. 33.3%
 - B. 66.7%
 - C. 50.0%
 - D. 100.0%

6. A bridal dress designer that makes high-end custom wedding dresses and needs to know the exact cost of each dress most likely uses which inventory costing method?
 - A. FIFO
 - B. LIFO
 - C. Weighted Average
 - D. Specific Identification
7. Which inventory method provides a better matching of current costs with sales revenue on the income statement, but also results in older values being reported for inventory on the balance sheet?
 - A. FIFO
 - B. LIFO
 - C. Weighted Average
 - D. Specific Identification
8. Allowance for Doubtful Accounts is a:
 - A. Permanent account so its balance carries forward to the next accounting period
 - B. Permanent account so its balance is closed (zeroed out) at the end of the accounting period
 - C. Temporary account so its balance is closed (zeroed out) at the end of the accounting period
 - D. Temporary account so its balance carries forward to the next accounting period
9. Assume the Hart Company uses the allowance method. When the company writes off a customer's account balance that has no chance of collection:
 - A. Total assets will decrease
 - B. Total liabilities will increase
 - C. Expenses and revenues will both increase
 - D. Total assets do not change
10. Manning Manufacturing lends its supplier \$300,000 for 3 years at a 6% annual interest rate. Interest payments are to be made twice a year. Each interest payment will be for:
 - A. \$18,000
 - B. \$27,000
 - C. \$9,000
 - D. \$54,000

11. Property, plant, and equipment are:
- A. Tangible assets used in the operation of a business that have a useful life of more than one year
 - B. Tangible assets used in the operation of a business that have a useful life of less than one year
 - C. Intangible assets used in the operation of a business that have a useful life of more than one year
 - D. Intangible assets used in the operation of a business that have a useful life of less than one year
12. Winifred Company has inventory with a selling price of \$451,000, a market value of \$223,000 and a cost of \$241,000. At what amount should the inventory be recorded?
- A. \$451,000
 - B. \$223,000
 - C. \$241,000
 - D. \$210,000
13. Costs included in the Merchandise Inventory account can include all of the following except:
- A. Damaged inventory that cannot be sold
 - B. Storage
 - C. Insurance
 - D. Transportation-in
14. The understatement of the beginning inventory balance causes:
- A. Cost of goods sold to be understated and net income to be understated
 - B. Cost of goods sold to be overstated and net income to be understated
 - C. Cost of goods sold to be overstated and net income to be overstated
 - D. Cost of goods sold to be understated and net income to be overstated
15. The inventory valuation method that results in the lowest taxable income in a period of inflation is:
- A. FIFO method
 - B. LIFO method
 - C. Weighted-average cost method
 - D. Specific identification method

Short Answer

1. All the income statement accounts and some of the balance sheet accounts as they appear on the adjusted trial balance of Caine Co. are below:

Accounts Payable	\$17,000
Accounts Receivable	29,000
Inventory	23,600
Advertising Expense	21,000
Cost of Goods Sold	161,000
Delivery Expense	7,800
Income Tax Expense	2,250
Insurance Expense	1,000
Rent Expense	19,200
Sales Revenue	340,000
Sales Discounts	9,200
Sales Returns & Allowances	46,000

What is Net Sales Revenue?	
What is Gross Profit?	
What is Income from Operations?	
What is Income Before Taxes?	
What is Net Income?	

2. Ramos Company's inventory balance was \$35,000 at the beginning of 2022. During the year, Ramos had inventory purchases of \$60,000 and had \$22,000 of inventory on hand at the end of 2022. During the same period, sales discounts were \$46,700 and allowance for doubtful accounts was \$13,250.

What is Ramos' Cost of Goods Sold for 2022?	
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3. On May 15, Granger Inc. sells inventory on account to Watson Corp. for \$6,000, terms 2/10, n/30. On May 20, Watson returns \$1,300 of inventory to Granger. On May 24, Watson completely fulfills its obligation to Granger by making a cash payment.

What is the amount of cash paid by Watson to Granger on May 24?	
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4. K&T's Corp. estimates that \$534 of its \$28,720 Accounts Receivable are uncollectible.

What is the net realizable value of Accounts Receivable?	
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5. Jackson Corp. uses the percentage-of-sales method to account for uncollectible receivables. At the beginning of the year, Allowance for doubtful accounts has a credit balance of \$1,500. During the year Jackson writes off uncollectible receivables of \$1,200. At the end of the year, Jackson has net credit sales \$135,000, of which 2% are deemed uncollectible.

What is Jackson's year-end balance in Allowance for doubtful accounts?	
What is Jackson's bad debt expense for the year?	

6. On December 31 of the current year, the unadjusted trial balance of Eli Inc. using the percent of receivables method to estimate bad debt included the following: Accounts Receivable, debit balance of \$95,250; Allowance for Doubtful Accounts, credit balance of \$921. Eli assumes 6% of outstanding accounts receivable at the end of the current year are estimated to be uncollectible.

What is Eli's year-end balance in Allowance for doubtful accounts?	
What is Eli's bad debt expense for the year?	

7. Manning Company purchased \$3,900 worth of merchandise. Transportation costs were an additional \$340. Manning returned \$270 worth of merchandise and then paid the invoice within the 3% cash discount period.

What is the total cost of this merchandise?	
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8. Peyton Company sold equipment that originally cost \$290,000 for \$165,000 cash. The accumulated depreciation on the equipment was \$155,000.

Should Peyton recognize a gain or a loss on this transaction?	
How much of a gain or loss should Peyton recognize?	

9. Cooper Corp. purchased property for a building site. The costs associated with the property were:

Purchase price	\$187,000
Real estate commissions	16,200
Legal fees	2,000
Expenses of clearing the land	3,200
Expenses to remove old building	2,200

What portion of these costs should be allocated to the cost of the land?	
What portion of these costs should be allocated to the cost of the new building?	

Problem 1 (45 Points)

Bosch, Inc. had the following balances and transactions during the first quarter of 2023:

Merchandise Inventory as of January 1	100 units at \$84
January 20	Sold 50 units at \$165
February 10	Purchased 200 units at \$86
March 15	Sold 120 units at \$165

Assume that Bosch uses a perpetual inventory system. Determine the amount of Ending Inventory that will be reported on the balance sheet as of March 31, 2023, and the amount that will be reported as Cost of Goods Sold and Gross Profit on the first quarter Income Statement under the methods indicated below.

	Ending Inventory	Cost of Goods Sold	Gross Profit
FIFO			
LIFO			
Weighted Average			

Problem 2 (70 Points)

Journalize the following transactions for James Gift Shop. James uses the gross method for sales transactions and a perpetual inventory system.

Dec. 5	Purchased \$4,400 of merchandise inventory on account, 3/10, n/EOM and FOB shipping point.
Dec. 9	Returned \$700 of defective merchandise purchased on March 5.
Dec. 11	Paid the freight bill of \$250 on the December 5 purchase.
Dec. 12	Sold merchandise inventory on account for \$5,200., 2/15, n/30. These goods cost the company \$3,700.
Dec. 14	Paid amount owed on credit purchase of December 5, less the return and the discount.
Dec. 30	Received cash from the December 12 customer in full settlement of the debt.

Date	Accounts	Debit	Credit

What is Gross Profit on December 30?	
What is the balance in Merchandise Inventory on December 30?	

Problem 3 (72 Points)

Wade Manufacturing acquired a machine for \$248,170 on January 10, 2023. The machine has a useful life of four years with a residual value of \$13,500. It is estimated that the machine could produce 757,000 widgets over its useful life. In the first year, 208,500 widgets were produced. Production increased to 212,500 units in the second year, 226,000 in the third year, and decreased to 110,000 units in the fourth year. Complete the depreciation schedules below.

Straight-line

Year	Depreciation Expense	Accumulated Depreciation	Net Book Value
2023			
2024			
2025			
2026			

Double-Declining Balance

Year	Depreciation Expense	Accumulated Depreciation	Net Book Value
2023			
2024			
2025			
2026			

Units-of-Production

Year	Depreciation Expense	Accumulated Depreciation	Net Book Value
2023			
2024			
2025			
2026			